Basel III Framework for Bank Regulation

Apart from currency wars and the reserve currency issues, the other contentious issue in the post-reform period was banking regulation reform that eventually took shape as the Basel III framework.

Although banking regulation is a domestic issue and every country can, in theory, regulate its banks any way it wants, in practice, the flexibility is much limited as countries perforce find that they have to conform to international standards. Why so? Because in an era of globalization where trillions of dollars cross international borders every day, it is just not possible for any country to remain an outlier in terms of regulatory standards. Markets shun economies which do not meet global standards. The choice in this regard is particularly stark for emerging economies which are dependent on foreign capital for investment.

The international standards for banking regulation are set by the Basel Committee for Banking Standards, BCBS or Basel Committee for short, and for non-banks by the Financial Stability Board (FSB).[1] Before the crisis, both the BCBS and the FSB comprised only advanced economies. In other words, these exclusive clubs of advanced economies set the standards for bank and non-bank regulation, and the rest of the world had to adhere to them. After the crisis, emerging markets protested against being relegated to being hapless bystanders, especially as it was the lax regulation by the advanced economies that was one of the root causes of the crisis. The result was that the membership of these forums was expanded to admit a few large emerging markets, including India.

As it turned out, this was not as substantive a victory as it looks. In some sense, the advanced economies continue to run the show. Although emerging markets were given a seat at the table, there was no real inclusion. Typically, the advanced economies would stitch up a deal at a conclave ahead of the meeting, and present that at the formal meeting for approval, almost as a fait accompli. In other words, emerging markets had a vote, but not a voice.